

D355

Total Rewards

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

Source. Scope from the course's public description in the WGU Institutional Catalog (September 2026); items written from the field's standard body of knowledge. No WGU assessment item, course material or proprietary content is used or reproduced. Not affiliated with or endorsed by Western Governors University.

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How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word _____	The one fact that decides _____	Answer _____	[] sure [] unsure [] guess
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Items

1.

A software company cannot raise salaries this year. Instead it adds flexible schedules, a formal peer-recognition program, and tuition assistance. Headquarters is in Austin, and the company just rebranded. What best describes this strategy?

- A. Adjusting direct compensation.
- B. Cutting total rewards.
- C. A rebranding strategy.
- D. Using non-pay elements of total rewards to attract and retain employees.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

2.

A hospital ranks its jobs by comparing required skill, effort, responsibility, and working conditions using a point-factor system. It sits near two larger competitors and recently added a helipad. What is the hospital mainly establishing?

- A. Individual performance pay.
- B. Internal equity.
- C. External competitiveness.
- D. Competitor-matched pricing, because rivals are nearby.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

3.

An analyst earns \$68,000. Her grade's pay range is \$60,000 to \$100,000, with a midpoint of \$80,000. She was hired four years ago and was rated exceeds expectations last year. What is her compa-ratio?

- A. 0.20
- B. 1.18
- C. 0.85
- D. 0.68

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

4. [TRANSFER — reversed stem / different variable]

A manager wants to move an employee to a compa-ratio of 0.95 in a grade whose midpoint is \$90,000. What is the target salary?

- A.** \$85,500
- B.** \$4,500
- C.** \$90,000
- D.** \$94,737

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

5.

A pay grade has a minimum of \$50,000 and a maximum of \$75,000. The grade covers 14 job titles and was last updated two years ago. What is the range spread?

- A.** 33.3%
- B.** 50%
- C.** \$25,000
- D.** \$62,500

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

6. [TRANSFER — reversed stem / different variable]

A pay grade has a midpoint of \$60,000 and a range spread of 40 percent. What is the range minimum?

- A.** \$48,000
- B.** \$36,000
- C.** \$70,000
- D.** \$50,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

7.

A tech firm now hires new software engineers at \$105,000 because the market is hot. Engineers with five years at the firm earn \$108,000. The firm is also piloting a four-day workweek. What pay problem does this show?

- A.** Lost pay caused by the four-day workweek.
- B.** Pay inversion.
- C.** Pay compression.
- D.** The firm lags the market for new hires.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

8.

A biotech startup sets pay 10 percent above market at the start of each plan year so it stays ahead of the market all year. It has 90 employees and a lab in San Diego. Which pay policy is this?

- A. Match.
- B. Lag.
- C. Lead-lag.
- D. Lead.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

9. [TRANSFER — reversed stem / different variable]

A company keeps its pay 5 percent below market all year and relies on job security and strong benefits to retain people. Which policy is this?

- A. Illegal, since pay must equal market rates.
- B. Match.
- C. Lag.
- D. Lead.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

10.

A sales firm pays one annual bonus based on company-wide profit, which depends mostly on commodity prices. Reps who beat their targets get the same bonus as reps who miss them. The firm uses a new CRM system and meets in a renovated office. Using expectancy theory, which link is weakest?

- A. Instrumentality: performance does not lead to a different reward.
- B. The CRM system makes performance hard to track.
- C. Valence: reps do not value money.
- D. Expectancy: effort does not lead to performance.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

11.

A 40-person company offers health insurance, a 401(k) match, employer Social Security contributions, and a gym subsidy. It recently won a best-places-to-work award. Which item is legally required?

- A.** All four, since any employer must offer them.
- B.** Employer Social Security contributions.
- C.** The 401(k) match.
- D.** Health insurance.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

12. [TRANSFER — reversed stem / different variable]

Which item is indirect compensation?

- A.** Employer-paid health insurance premiums.
- B.** Sales commission.
- C.** Base salary.
- D.** A spot cash bonus.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer D Concept 1

A software company cannot raise salaries this year. Instead it adds flexible schedules, a formal peer-recognition program, and tuition assistance. ~~Headquarters is in Austin, and the company just rebranded.~~ What best describes this strategy?

Target word: describe the strategy **Decides:** Non-pay reward elements added.

A	Confusion set	Salaries did not change.
B	Inverted operation	Rewards were added, not cut.
C	Camouflage	The rebrand does not describe the rewards change.
D	Correct	Flexibility, recognition, and development are total rewards.

2. Answer B Concept 2

A hospital ranks its jobs by comparing required skill, effort, responsibility, and working conditions using a point-factor system. ~~It sits near two larger competitors and recently added a helipad.~~ What is the hospital mainly establishing?

Target word: purpose of the method **Decides:** Point-factor ranks jobs internally.

A	Adjacent category	Point-factor rates jobs, not people.
B	Correct	Job evaluation sets relative worth among the firm's own jobs.
C	Confusion set	That uses market salary surveys.
D	Camouflage	Nearby rivals do not decide the method used.

3. Answer C Concept 3

An analyst earns \$68,000. Her grade's pay range is \$60,000 to \$100,000, with a midpoint of \$80,000. ~~She was hired four years ago and was rated exceeds expectations last year.~~ What is her compa-ratio?

Target word: compa-ratio **Decides:** $\$68,000 \div \$80,000$.

A	Adjacent category	That is range penetration: $(68 - 60) \div (100 - 60)$.
B	Inverted operation	$80 \div 68$ flips the ratio.
C	Correct	$68 \div 80 = 0.85$.
D	Wrong stem number	Divides by the maximum.

4. Answer A Concept 3 • transfer

A manager wants to move an employee to a compa-ratio of 0.95 in a grade whose midpoint is \$90,000. What is the target salary?

Target word: solve for salary **Decides:** $\text{Salary} = 0.95 \times \$90,000$.

A	Correct	$0.95 \times \$90,000 = \$85,500$.
B	Adjacent category	The distance below midpoint, not the salary.
C	Dropped element	That is a compa-ratio of 1.00.
D	Inverted operation	$\$90,000 \div 0.95$ divides instead of multiplying.

5. Answer B Concept 4

A pay grade has a minimum of \$50,000 and a maximum of \$75,000. ~~The grade covers 14 job titles and was last updated two years ago.~~ What is the range spread?

Target word: range spread **Decides:** $(\$75,000 - \$50,000) \div \$50,000$.

A	Inverted operation	Divides by the maximum instead of the minimum.
B	Correct	$\$25,000 \div \$50,000 = 50\%$.
C	Dropped element	The dollar width, not the spread percent.
D	Adjacent category	That is the midpoint.

6. Answer D Concept 4 • transfer

A pay grade has a midpoint of \$60,000 and a range spread of 40 percent. What is the range minimum?

Target word: solve for minimum **Decides:** $\text{Min} = \$60,000 \div 1.20$.

A	Inverted operation	Subtracts 20 percent of the midpoint instead of dividing by 1.20.
B	Dropped element	Subtracts the full 40 percent, dropping the half-spread.
C	Confusion set	That is the maximum.
D	Correct	$\$60,000 \div 1.20 = \$50,000$; $\text{max} = \$70,000$; $(\$70,000 - \$50,000) \div \$50,000 = 40\%$.

7. Answer C Concept 5

A tech firm now hires new software engineers at \$105,000 because the market is hot. Engineers with five years at the firm earn \$108,000. ~~The firm is also piloting a four day workweek.~~ What pay problem does this show?

Target word: name the problem **Decides:** New-hire pay close to veteran pay.

A	Camouflage	The pilot does not decide the pay relationship.
B	Confusion set	Inversion means new hires earn more; here they earn slightly less.
C	Correct	New and experienced pay are squeezed together.
D	Adjacent category	New hires are paid at the hot market rate.

8. Answer D Concept 6

A biotech startup sets pay 10 percent above market at the start of each plan year so it stays ahead of the market all year. ~~It has 90 employees and a lab in San Diego.~~ Which pay policy is this?

Target word: pay policy **Decides:** Above market all year.

A	Adjacent category	Match is at market.
B	Inverted operation	Lag is below market.
C	Confusion set	Lead-lag ends the year below market.
D	Correct	Pay stays above market throughout the year.

9. Answer C Concept 6 • transfer

A company keeps its pay 5 percent below market all year and relies on job security and strong benefits to retain people. Which policy is this?

Target word: pay policy — reverse case **Decides:** Below market all year.

A	Absolute language	No law requires market-rate pay above minimum wage.
B	Adjacent category	Match is at market.
C	Correct	Pay stays below market.
D	Inverted operation	Lead is above market.

10. Answer A Concept 7

A sales firm pays one annual bonus based on company-wide profit, which depends mostly on commodity prices. Reps who beat their targets get the same bonus as reps who miss them. ~~The firm uses a new CRM system and meets in a renovated office.~~ Using expectancy theory, which link is weakest?

Target word: weakest link **Decides:** Performance does not change the reward.

A	Correct	Top and bottom performers get the same bonus.
B	Camouflage	The tool does not decide the incentive link.
C	Adjacent category	Nothing suggests reps do not want bonuses.
D	Confusion set	Reps can still beat targets by trying.

11. Answer B Concept 8

A 40-person company offers health insurance, a 401(k) match, employer Social Security contributions, and a gym subsidy. ~~It recently won a best places to work award.~~ Which item is legally required?

Target word: mandated benefit **Decides:** Employer FICA contributions are required.

A	Absolute language	Only Social Security is required here.
B	Correct	FICA contributions are required by law.
C	Adjacent category	Retirement matches are voluntary.
D	Confusion set	The federal employer mandate applies at 50 or more full-time-equivalent employees.

12. Answer A Concept 8 • transfer

Which item is indirect compensation?

Target word: indirect pay — reverse **Decides:** Benefits paid on the employee's behalf.

A	Correct	Benefits are indirect compensation.
B	Confusion set	Direct, performance-based pay.
C	Inverted operation	Direct compensation.
D	Adjacent category	Cash paid directly, even if recognition-based.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owned.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	3	
Wrong stem number	A figure copied from the prompt that is not the answer.	1	
Adjacent category	The right idea in the wrong bucket.	10	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	8	
Absolute language	Always, never, guarantee — where judgment applies.	2	
Confusion set	Every option is real; the test is exact role-matching.	8	
Camouflage	Answers a stem fact that was never the question.	4	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	Total rewards is more than pay	Total rewards includes compensation, benefits, well-being, recognition, and development, and firms can use non-pay elements to attract and retain people.	Thinking rewards strategy means salary only.	A firm that cannot raise pay but adds other rewards.
2	Job evaluation for internal equity	Job evaluation (such as point-factor) ranks jobs by internal worth; market pricing sets external competitiveness.	Calling a point-factor system market pricing.	Skill, effort, responsibility, and working conditions.
3	Compa-ratio	Compa-ratio = salary ÷ range midpoint.	Dividing by the maximum or flipping the ratio.	A salary and a range midpoint.
4	Range spread	Range spread = (max – min) ÷ min; with a midpoint, min = midpoint ÷ (1 + spread ÷ 2).	Dividing by the max, or subtracting the spread from the midpoint.	Minimum and maximum, or a midpoint and a spread percent.
5	Pay compression	Compression occurs when pay for new hires approaches that of experienced employees in the same job; inversion is when new hires earn more.	Confusing compression with inversion or with a market lag.	New-hire pay close to long-tenured pay.
6	Lead, lag, or match	Lead pays above market, lag pays below, match pays at market; lead-lag starts above and ends below over the plan year.	Mixing lead-lag with a pure lead policy.	Where the pay line sits against the market and when.
7	Expectancy theory in incentives	Motivation needs expectancy (effort → performance), instrumentality (performance → reward), and valence (the reward is valued).	Diagnosing every incentive failure as a valence problem.	High and low performers receive the same reward.
8	Mandated vs. voluntary benefits	Social Security, Medicare, unemployment insurance, and workers' compensation are legally required; health plans for small firms, retirement matches, and wellness perks are voluntary.	Assuming health insurance or a 401(k) match is required for every employer.	A list of benefits and "legally required."

Course scope (public description): Total rewards encompass not only paychecks but also benefits, recognition, and the overall employee experience. This course develops your ability to design compensation and rewards systems that attract, motivate, and retain employees while aligning with organizational strategy. By learning how to balance internal fairness with external competitiveness, you will gain skills that every HR leader needs to support both performance and employee satisfaction.